

For many people, risk control means that they have a plan for what they will do if something goes very wrong. I try to avoid getting into that situation in the first place. Our defining moment of a survival threat is being down more than 7 percent in a month and not knowing why. If you look at the history of our fund, you will find that 90 percent of the monthly returns were between +7 percent and -7 percent. So as long as a monthly loss is less than 7 percent, we are still in a normal range. If a loss exceeds 7 percent, it indicates that something is wrong. If I can figure out what is wrong, then I might not change anything. If I can't figure out what is wrong, then I have to reduce the exposure.

So once you are down 7 percent for the month, you just play defense?

No, not necessarily. We were down big in September 2008. I started taking off exposure, but I was selling stock at what I considered ridiculous prices. It just felt wrong. So I stopped. Losing money on the long side is different from losing it on the short side.

Because on the long side there is a limit to how low prices can go, but on the short side, the risk is open-ended?

It's not only that. It's also different from the client's perspective. During the fourth quarter of 1999, when the market was skyrocketing and I was net short, I was losing my ass at the same time most other hedge funds were making a ton of money. When your investors look around, and you're losing money, while everyone else is making money, they are much more likely to pull their investment. Being short in a rising market is very difficult from an investor relations standpoint. In 2008, we were losing money, but so was everyone else. It's a lot easier to keep your capital base in that type of scenario.

It sounds like your risk management process is very discretionary. It depends on your trusting yourself to act when losses are beginning to get more extreme than usual.

Yes, it is very hard. We spend a lot of effort to avoid getting into that type of situation in the first place. You want to design a portfolio that will survive a 150-foot tidal wave. The number one risk factor for me is leverage. At the extreme levels, our net exposure is usually less than the net exposure of a typical mutual fund. One of the reasons I didn't take